

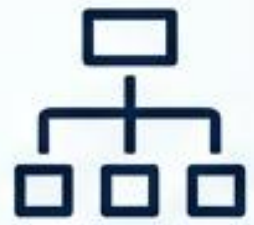


Project Organization & Integration

Topic 11 | IT Project Management



Learning Objectives



Understand formal project organization structures.



Compare matrix and pure projects.



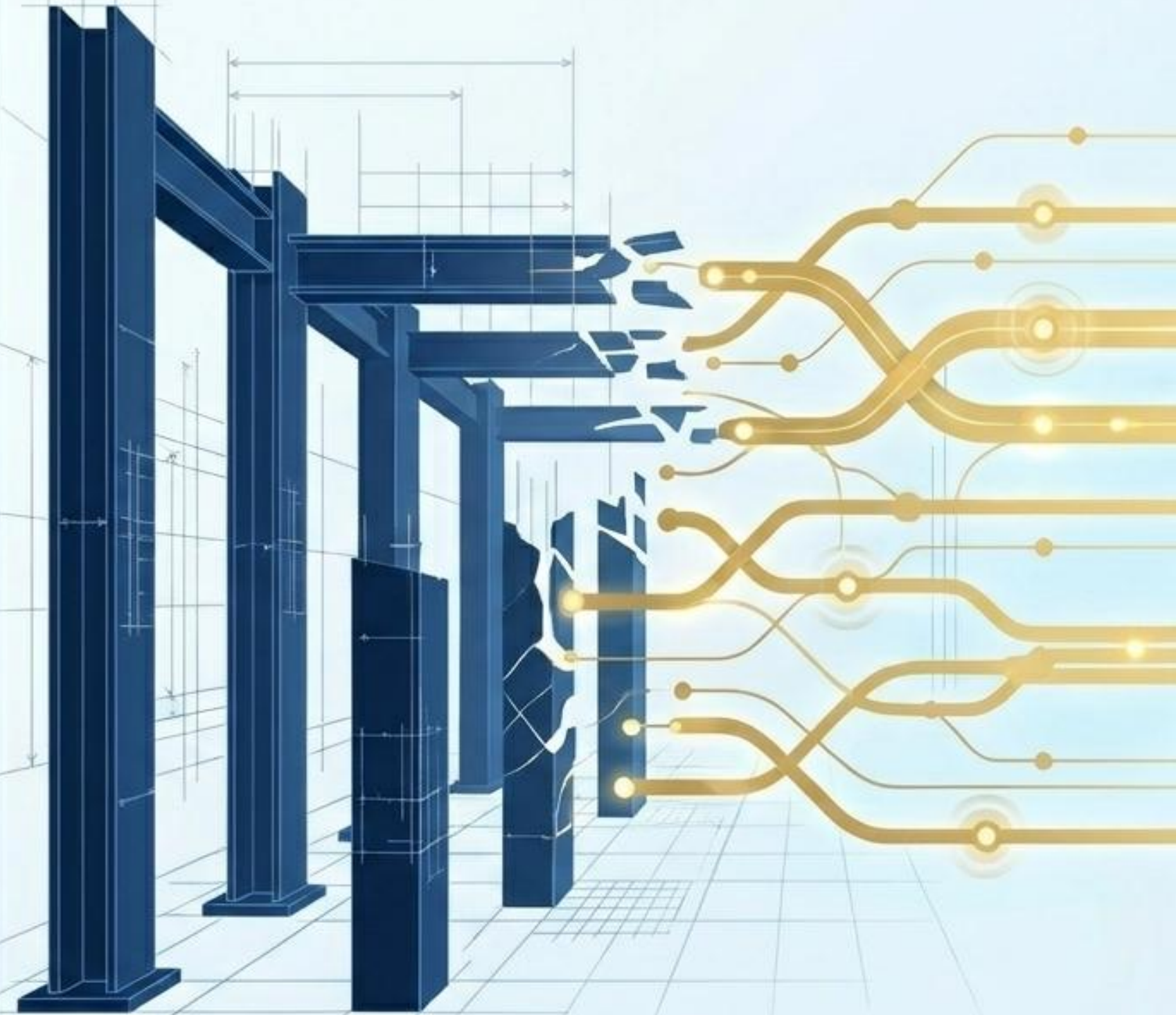
Learn integration roles and PMOs.



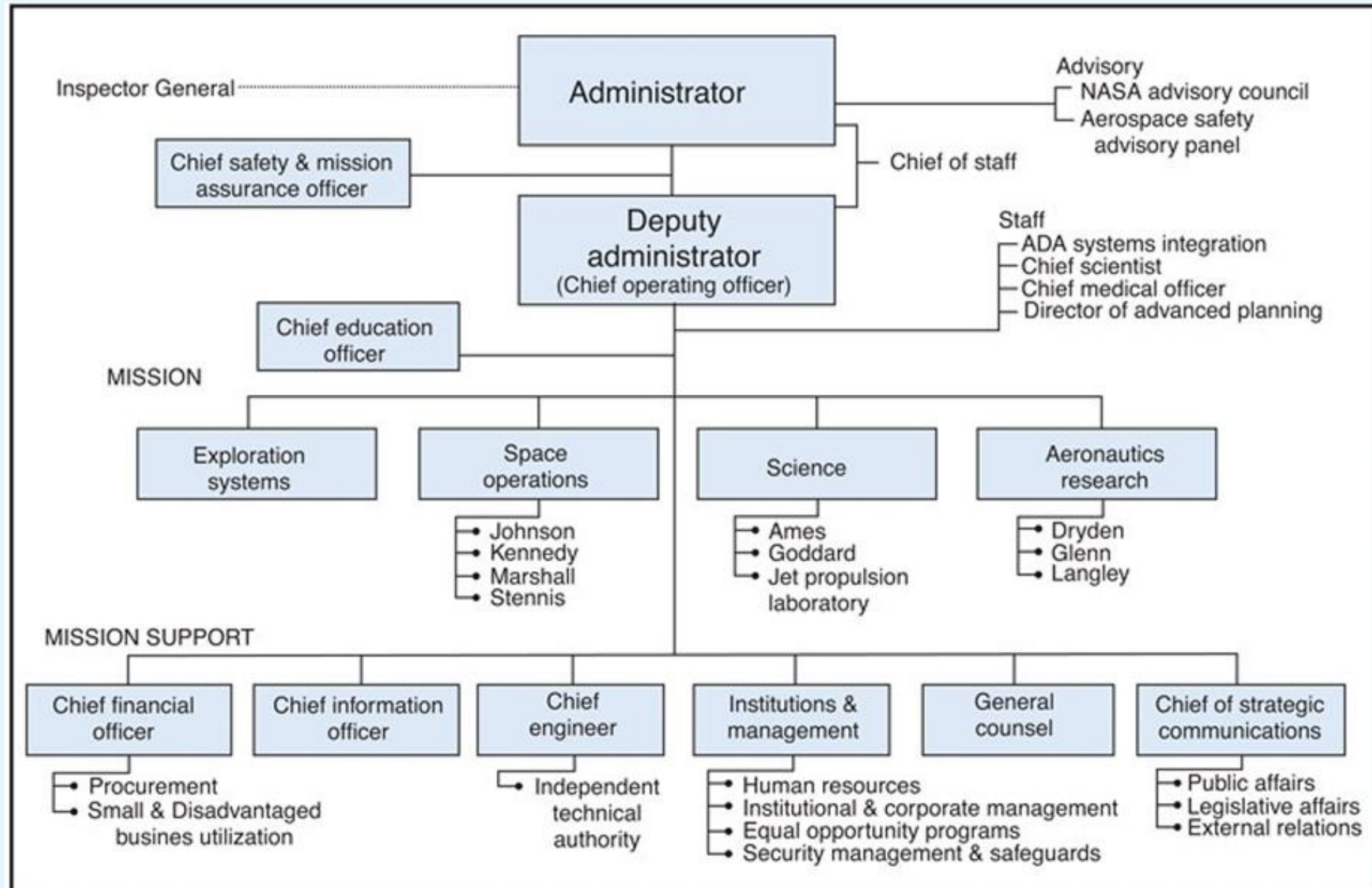
Select suitable organizational project forms.

Why Organization Matters

- Projects bring unique, complex goals.
- Require diverse, specialized team resources.
- Must adapt to frequent changes.
- Structure defines reporting and authority.
- Integration ensures smooth team collaboration.



Formal Organization Structure



Differentiation vs. Integration



- Subunits tailored for specific tasks.
- Traditional firms use vertical authority.
- Organic structures handle uncertainty best.



- Connecting project parts horizontally together.
- Projects need direct, horizontal communication.
- Speed and flexibility are essential.



Class Discussion

Think of a student club.
How is it formally structured?

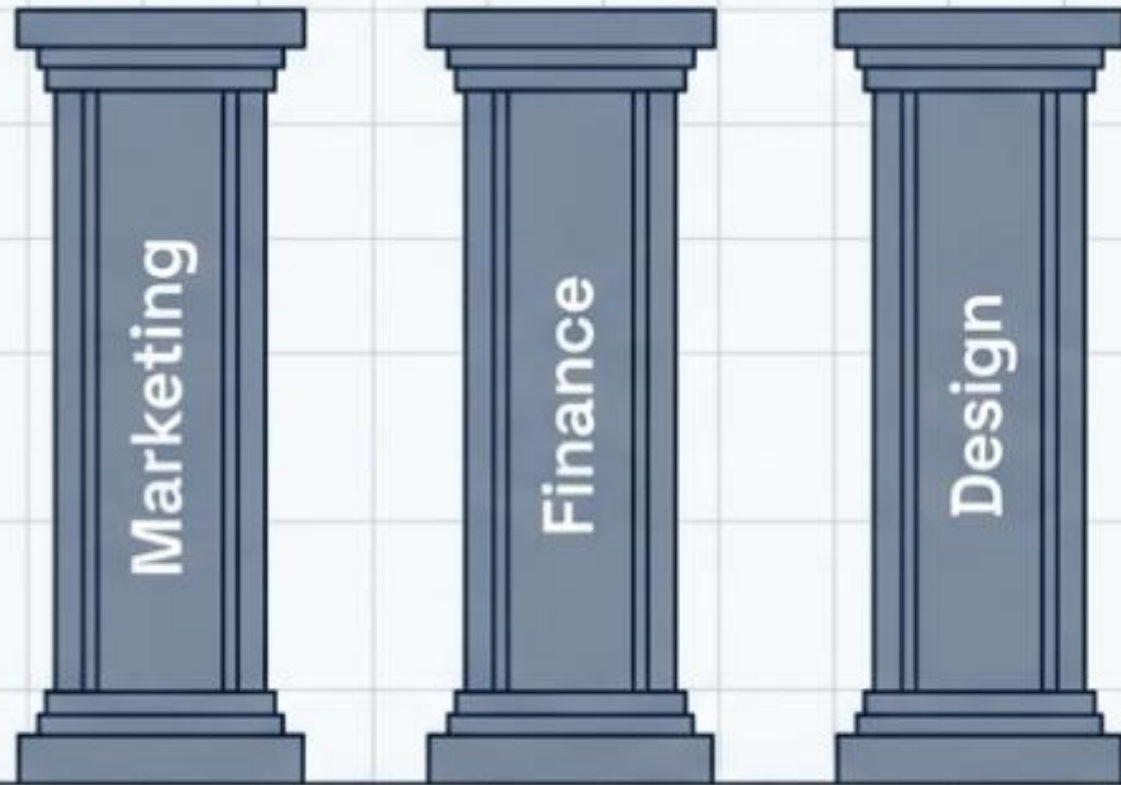
How do members actually communicate?

Identify one horizontal integration method.

Discuss with your neighbor now.

Why Projects Need Integration

Traditional Silos



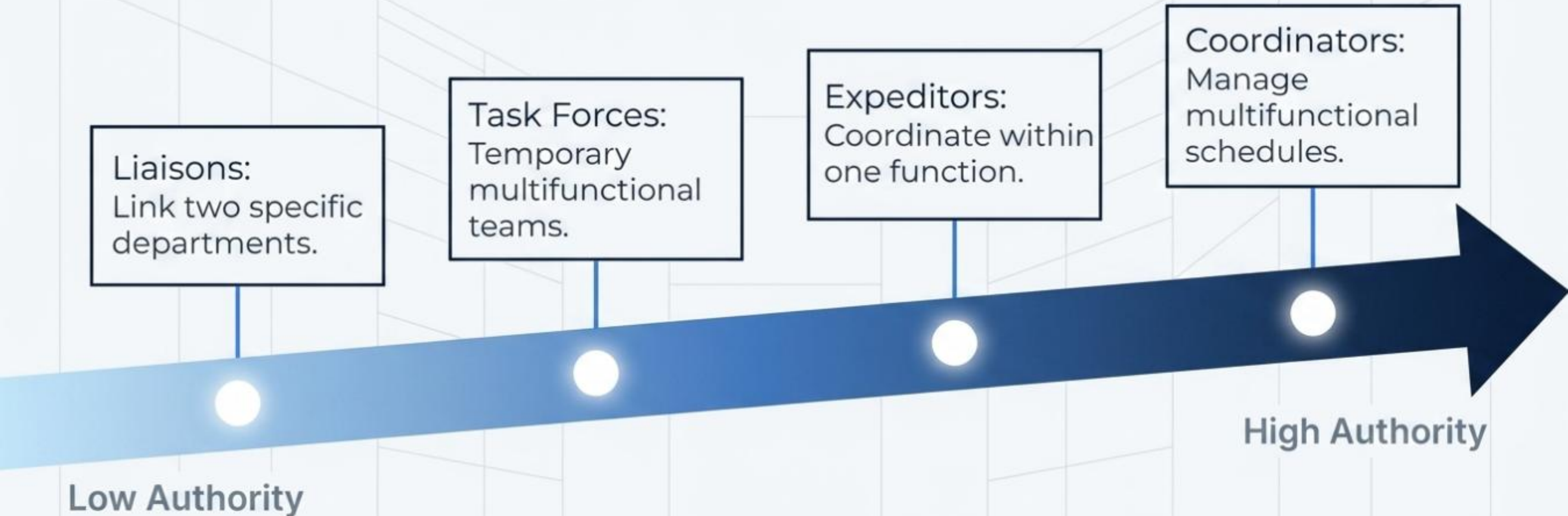
- Organizations use vertical specialization.
- Traditional silos slow down decisions.
- Projects need cross-functional teamwork.

Horizontal Integration



- Projects require horizontal integration.
- Environments face changing uncertainty.
- Adaptable structures ensure project success.

Tools for Integration



- Bypass formal rigid authority lines.
- Integrators speed up team communication.

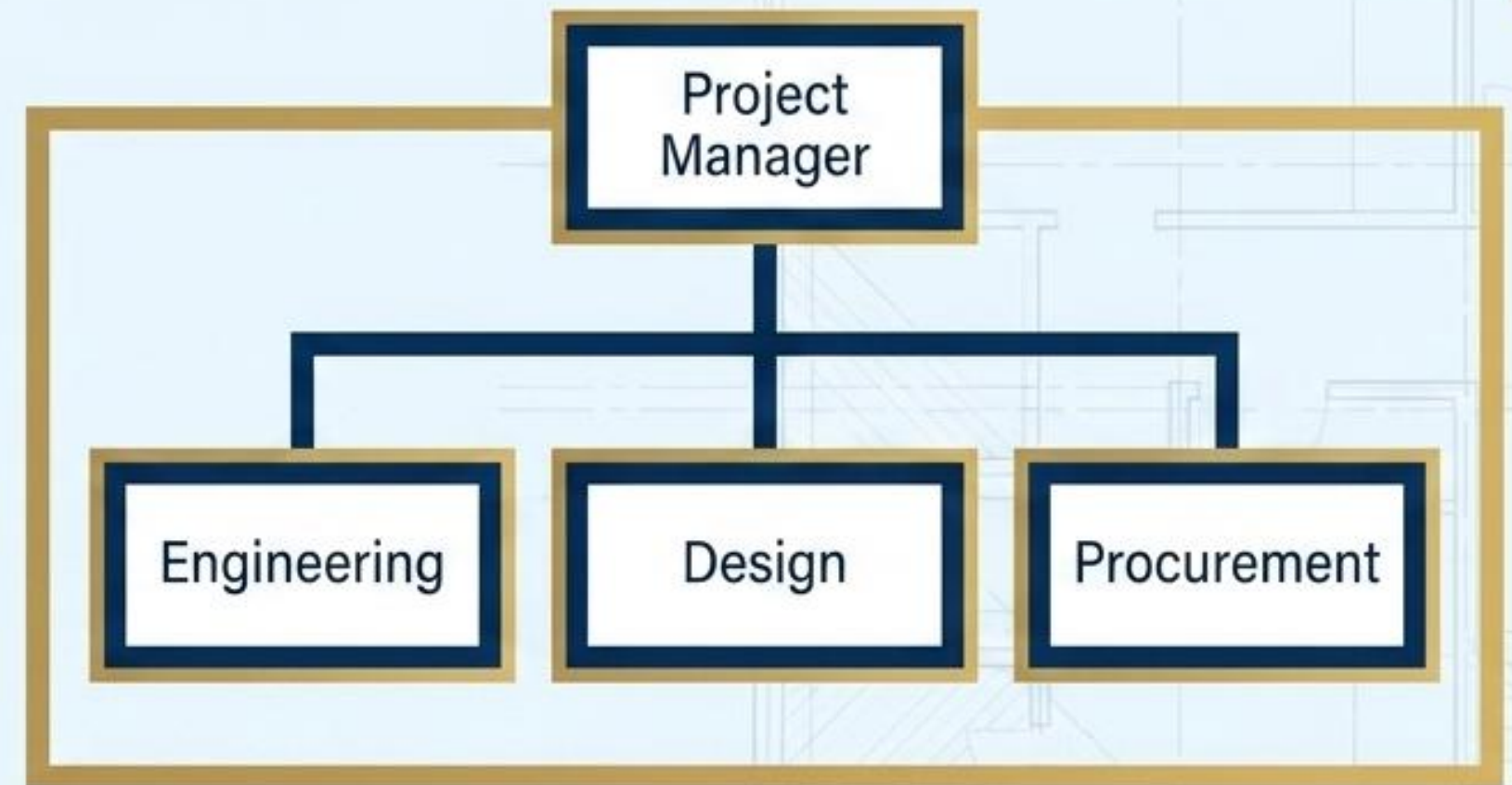
Integration: The Glue

- Connecting diverse project team subunits.
- Integrators bypass slow vertical chains.
- Liaisons link two specific departments.
- Task forces handle multi-department issues.
- Enable rapid cross-functional problem-solving.
- Ensure everyone stays fully informed.



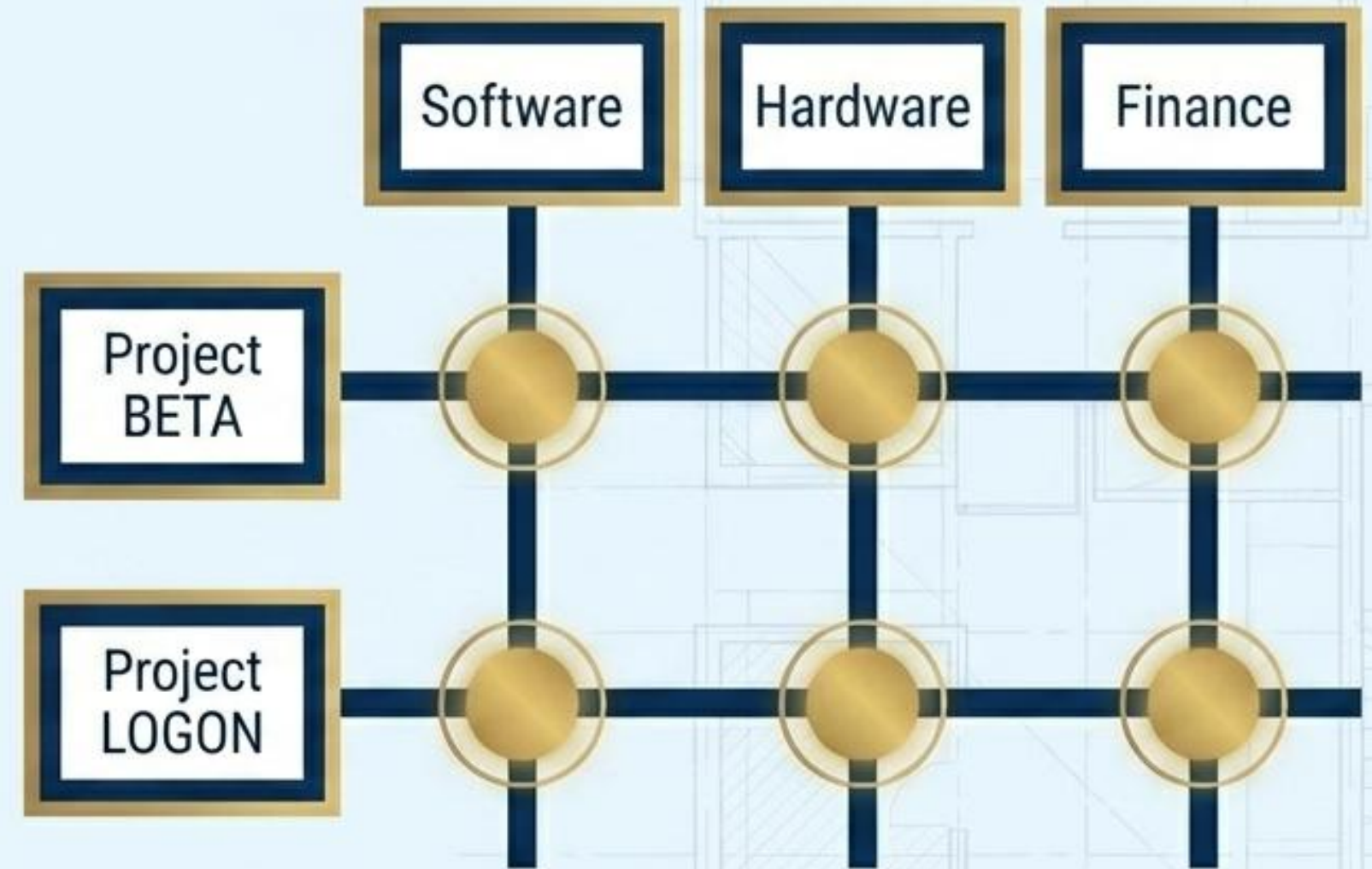
Pure Project Organizations

- Entirely separate, dedicated project team.
- PM has full resource control.
- Maximum authority and fast decisions.
- Variations: center, partial, stand-alone.
- Ideal for large, complex projects.
- Risk: Costly and idle resources.

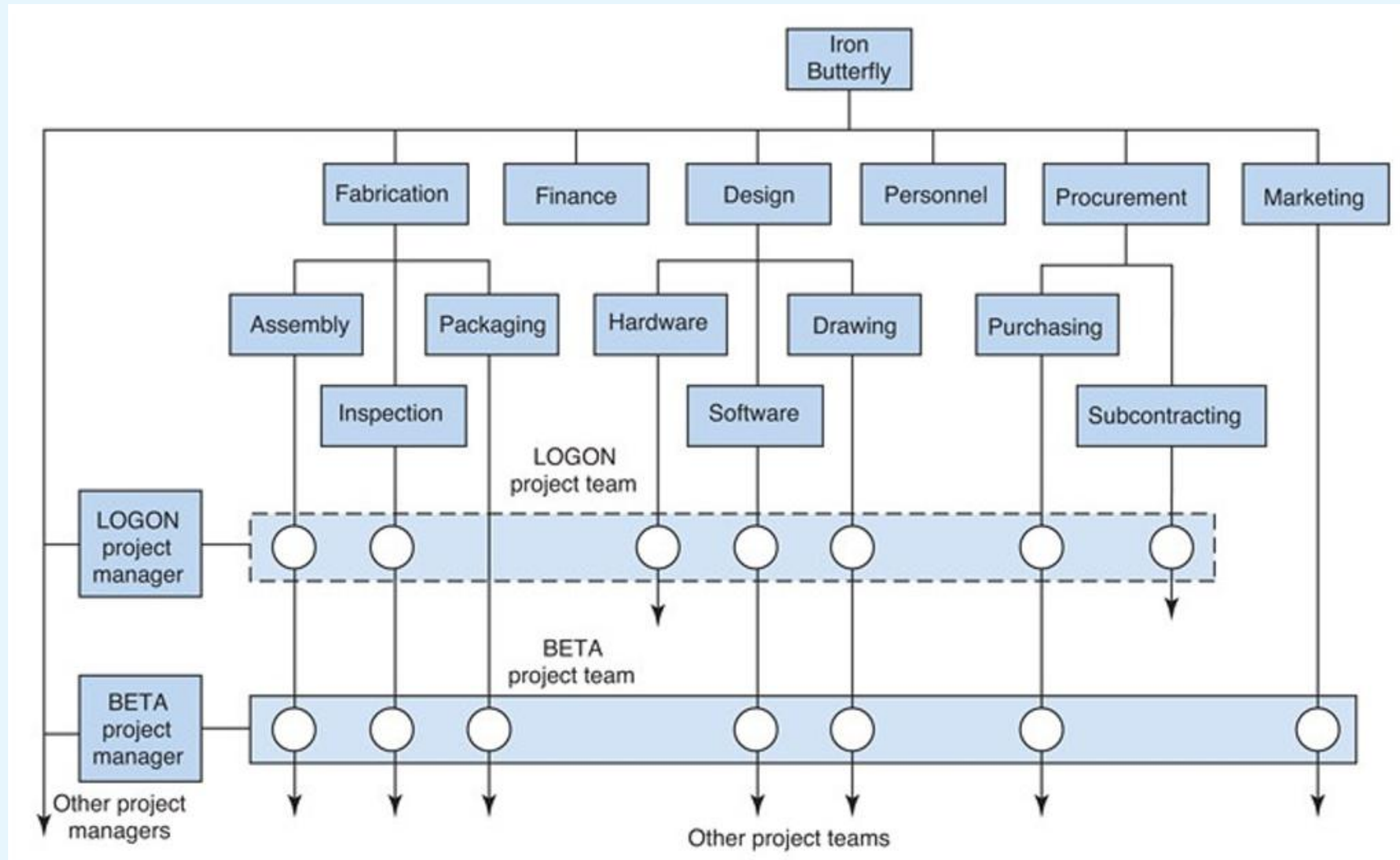


The Matrix Organization

- Overlays project onto functional structure.
- Staff borrowed from functional areas.
- Dual reporting: PM and functional.
- Shares resources across multiple projects.
- Most common IT organizational structure.
- Can cause priority/power conflicts.



Matrix form of project organization – Iron Butterfly company

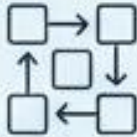


Comparing Organization Forms

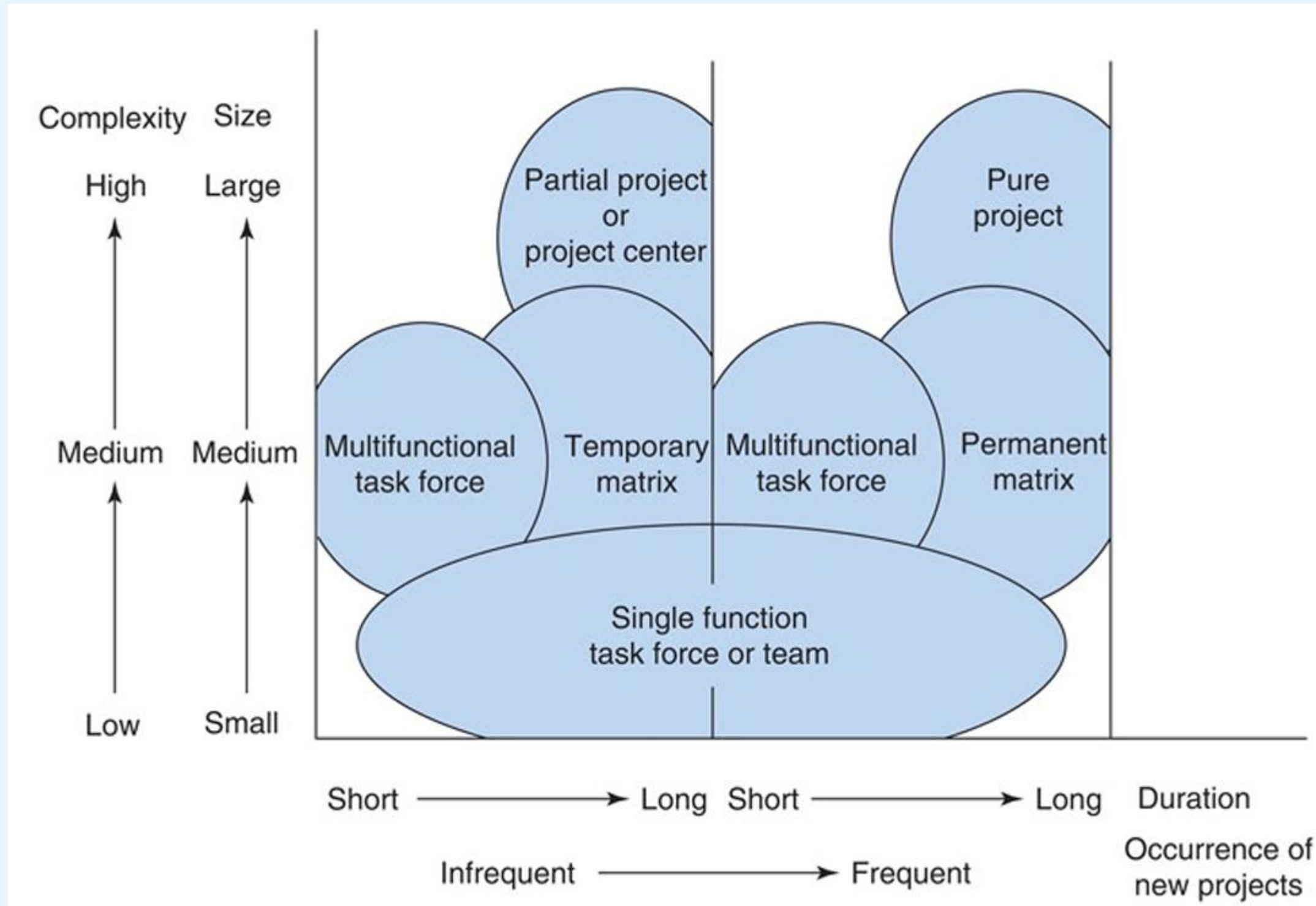
Compare functional, matrix, pure project.

Select based on project size.

Match structure to complexity level.

Functional	Matrix	Pure Project
 Functional: Low authority, siloed resources.	 Matrix: Shared authority, borrowed resources.	 Pure: High authority, dedicated resources.

Selecting an Organization Form for Projects

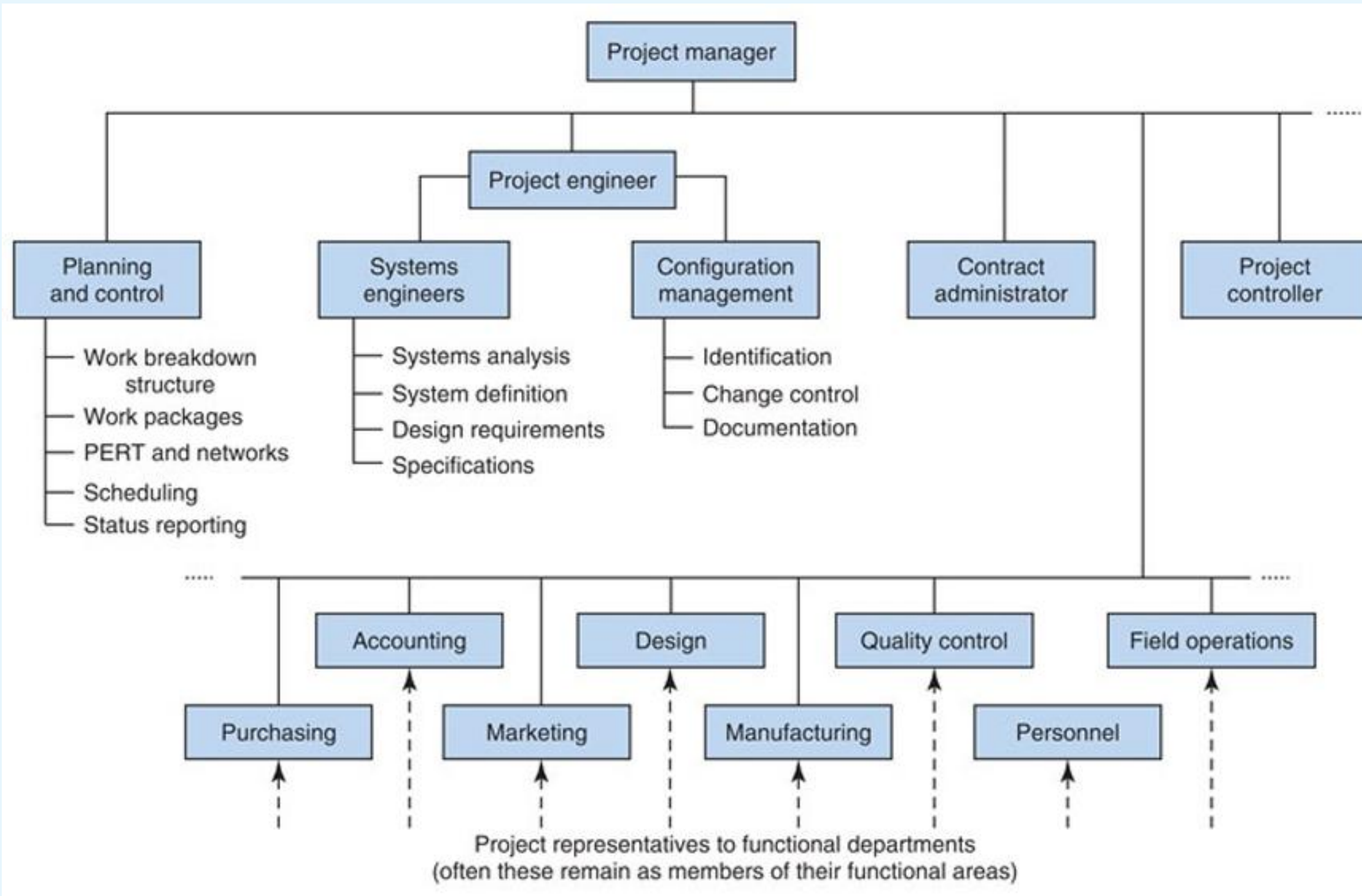


Case Application: QuickBite

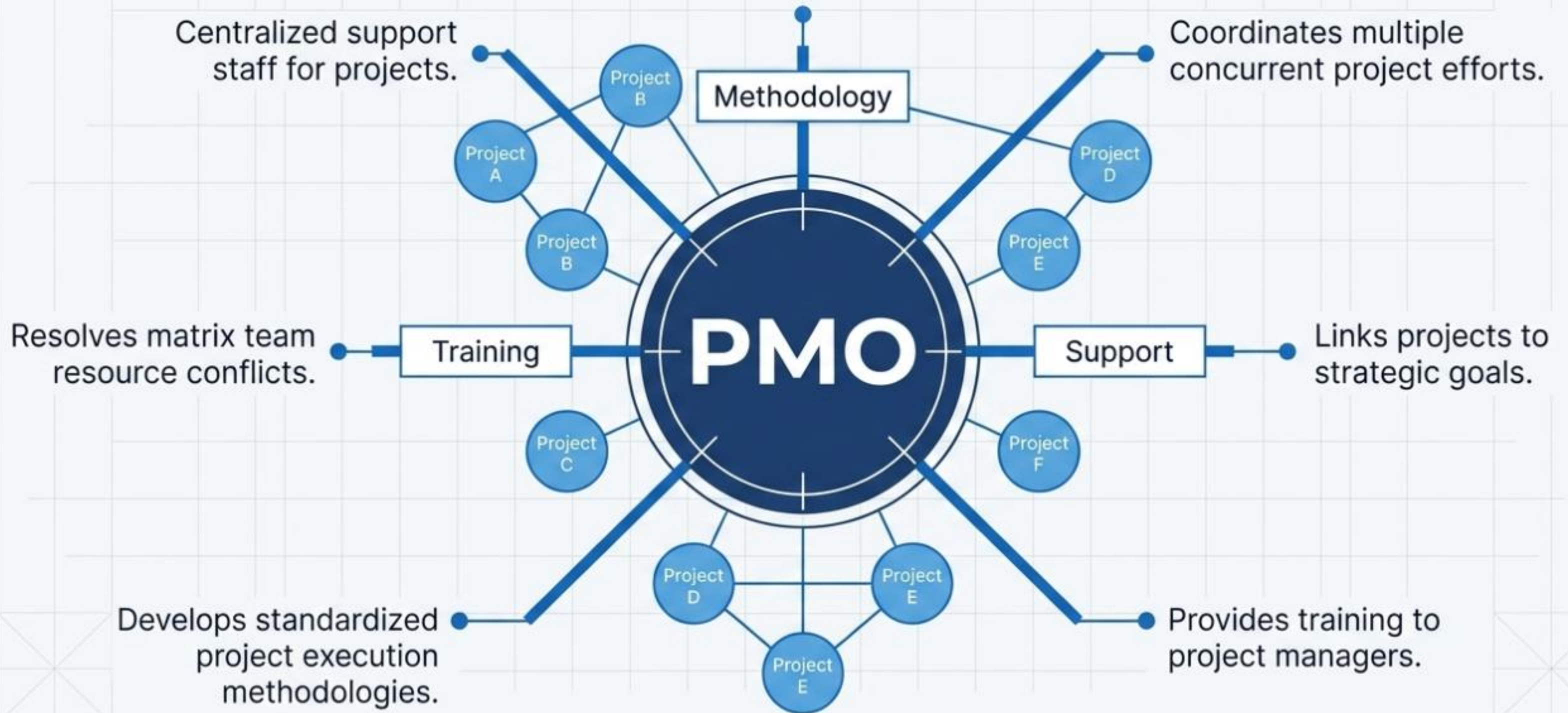
- Scenario: QuickBite App Development project.
- Needs IT, Marketing, and Finance.
- Lasts 8 weeks, \$10k budget.
- Which structure fits best? Why?
- Defend your choice in groups.



Project office for a large development project

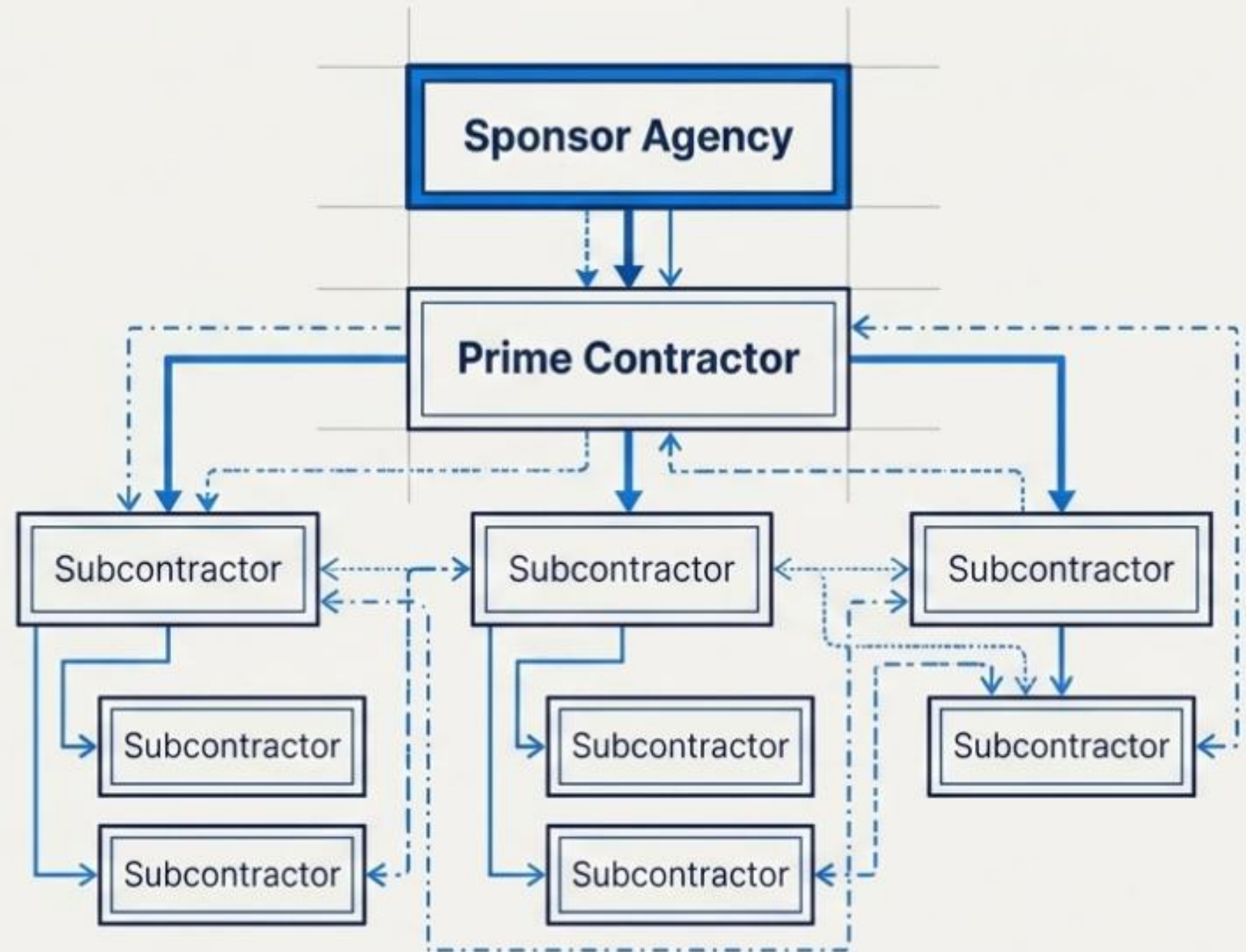


Project Management Office (PMO)



Large-Scale Projects (Mega-Projects)

- Involves sponsors, primes, and subcontractors.
- Requires massive, complex integration efforts.
- Sponsor agencies hold ultimate oversight.
- Prime contractor acts as integrator.
- Uses specialized integration consulting firms.
- Example: International Space Station assembly.





Key Takeaways

- Projects need flexible, integrated structures.
- Choose forms based on complexity.
- Matrix balances shared organizational resources.
- Pure projects maximize PM authority.
- PMOs and integrators ensure alignment.
- Structure must support project goals.

Final Review Exercises

Review concepts with your group.
Share answers with the class.

1.

Differentiate
pure vs matrix.

2.

Why do LSPs
need primes?

3.

Design a
QuickBite PMO.